

**BEFORE THE
FEDERAL MARITIME COMMISSION**

OJ COMMERCE, LLC,

Complainant,

DOCKET NO. 21-11

v.

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S & CO KG

and

HAMBURG SUD NORTH AMERICA, INC.,

Respondents.

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Complainant OJ Commerce, LLC (“OJC,” “OJ Commerce,” or “Complainant”), by and through its undersigned counsel, hereby files its Brief, pursuant to 46 C.F.R. § 502.214 and the Scheduling Order dated 03/10/2022 at 2-3.

INTRODUCTION

For the past two years, most of the world was in turmoil due to COVID. Companies across the country shuttered their doors. Many filed for bankruptcy. Layoffs were widespread. But as the world was tossed into turmoil, one group — a handful of ocean carriers — took advantage of the unfortunate situation and laughed all the way to the bank.

For many decades, the efficient shipment of containers by carriers has been the lifeblood of the United States’, even the world’s, economy, and is absolutely critical to the business of OJC, as well as virtually all other major retailers, manufacturers, and every other industry that relies on imports and exports. But while this crisis was taking place, the carriers, including Respondents/Maersk¹, took full advantage of their power and **profited \$500 Billion.**² This equated to more profit in those two years than the ocean carriers had amassed in over the previous two decades **combined**. Maersk led the pack; it is having its most profitable year in its 118-year history.³

As recently as this May, Maersk continued to boast about its ability to rake in ever-increasing profits in the face of decreased demand through their hiking of shipping rates:

In Ocean, revenue increased 64[%] to USD 15.6 Billion during Q1 as strong rates more than offset a 7[%] decline in volumes. Revenue for the full year is expected to continue to be strong as **the increase in freight rates on our long-term contract portfolio will add approximately USD 10 Billion to revenue in 2022 compared to 2021.**⁴

¹ Collectively, “Maersk.”

² CX 8-9.

³ CX 14-15.

⁴ CX 17 (emphasis added).

Maersk has fleeced the world economy during the pandemic without qualm or remorse to reap its historically-record profits, while consumers, shippers, and the world suffer from 40-year-high inflation driven in large part by the ocean carriers' pricing tactics. In blunter language, Maersk **price gouged**, as it took full advantage of the global crisis to extort as much money as it possibly could from shippers. This can be achieved because a small cartel of carriers – organized into three cozy alliances – rule the oceans.⁵ Their dominance is anchored in large part on federal antitrust immunity granted by the Shipping Act.⁶

This immunity emboldened the cartel to boost the cost of shipping from around \$1,200 to over 10 times that per container last year. The price hikes were debilitating. Importing giants with deep pockets like Amazon and Walmart leased ships of their own to transport their goods.⁷ Smaller operators couldn't do that. Unable to afford the increase in shipping prices, many just didn't get their goods. Many downsized their businesses and struggled to hang on at the mercy of the ocean carriers. Many lost their businesses.

Cognizant of their plight, President Biden stood on the banks of the Pacific Ocean at the Port of Los Angeles in June and underscored the singular role of the Federal Maritime Commission. He highlighted the issue and called upon Washington to let the carriers know that “the rip-off is over.”⁸ Regardless, Maersk has flaunted its own power and dominion in and outside of court by (i) charging exorbitant rates far higher than any in shipping history, (ii) refusing to honor contracts, (iii) levying outrageous demurrage fees, (iv) engaging in blank sailings to

⁵ CX 24-25.

⁶ 46 U.S.C. § 40307.

⁷ CX 29-31.

⁸ CX 34.

manipulate space, demand, and pricing, and (v) retaliating against shippers, such as OJC, that dare to complain, and do not dutifully comply with Maersk's unbridled demands. This is standard operating procedure for Maersk. Indeed, as shown in their internal emails, Maersk calculates strategies to conceal their improper pricing practices from regulators ([REDACTED]

[REDACTED]).⁹ Maersk even colludes with its largest competitor, Mediterranean Shipping Company SA ("MSC"), to improperly share shipping rates, ([REDACTED]

[REDACTED]).¹⁰ Maersk's *modus operandi* is to flout the law and rake in profit.

Recognizing this problem, the FMC itself has taken a strong public stand against Shipping Act violations and has repeatedly invited targeted companies to file complaints with the agency. But few have, fearing retaliation. In fact, Commissioner Rebecca Dye recently testified that the FMC has been self-initiating complaints against carriers due in part to a lack of complaints filed directly from exporters:

We didn't get as many complaints as we wanted, because our exporters are concerned about retaliation. ... I can assure you that that is a violation of the Shipping Act. And we would take prompt and decisive action if we heard about any carrier actually retaliating against any exporter or any other supply chain actor for coming to the FMC with a complaint.¹¹

On December 28, 2021, the FMC also issued the "Statement of the Commission on Retaliation," wherein it assured shippers and the public that "[t]he Commission has, and will continue, to take

⁹ CX 41.

¹⁰ CX 48.

¹¹ CX 60.

seriously and investigate thoroughly allegations of carrier retaliation[,] ... [and] it will interpret 46 U.S.C. § 41104(a)(3) – the anti-retaliation provision – broadly to effectuate Congress’s intent that shippers feel free to air their grievances to the Commission, and to address new shipping practices and new forms of retaliation.”¹²

If there was ever a case that called out for “prompt and decisive action” against retaliation by the FMC, it is this one.

OJC had a service contract with Maersk for 2020-2021. As the time for renewal approached, two issues came to a head. First, Maersk had not been living up to its service commitments for much of the Parties’ first contract period. Second, however, Maersk’s sales team promised OJC that the reason for these failures was due to OJC’s relatively lower volume, and that if OJC increased its volume with Maersk, OJC would become a VIP customer, who would get priority, dedicated space allocations, and better service for its shipments. In reliance on those promises, OJC stopped pursuing renewals with other carriers, and focused all its efforts on pursuing its renewal contract with Maersk in good faith.

Unfortunately, and despite coming to an agreement on 2021-2022 contracts, Maersk’s performance on its 2020-2021 contract still was lacking. Specifically, Maersk had refused to allow OJC any space on its vessels at the negotiated rates. Left sustaining terrible damages due to its inability to obtain inventory, OJC put Maersk on notice that it would complain to the FMC if they did not correct the situation. But Maersk had no interest in making right what it knew it had done wrong. Instead, Maersk willfully retaliated against OJC by immediately and abruptly cutting off (i) all renewal negotiations and (ii) all shipping under the Parties’ existing service contract. Maersk’s internal emails demonstrate unequivocally that these actions were taken because OJC

¹² Statement, Dkt. 21-15 at 1.

dared state it would complain to the FMC. Moreover, Maersk was well aware that retaliation was illegal under the Shipping Act as it testified its internal compliance training included education about retaliation being a serious violation.

Maersk's retaliation came so late in the season that no other carriers had any leftover contract allocated space, which left OJC stuck without a service contract for 2021-2022. Maersk's retaliation could not have come at a worse time, as it came right when the demand for home goods increased exponentially, when everyone was staying home and working remotely due to the threat of COVID. Maersk's abrupt dissolution of its service contracts thrust OJC into the tumultuous spot market, where a few months later, the rates rocketed to their highest *ever*. Therefore, Maersk's retaliation massively damaged OJC more drastically than if it happened during a normal sales period. For its part, Maersk benefited even more from its retaliatory actions, by selling the space it had promised to OJC on the spot market for over 10 times the rates promised OJC, just to add to their astronomical profits.

But Maersk's outrageous conduct did not stop once this proceeding began. In an attempt to rewrite history about their retaliation against OJC, Maersk concocted a series of baseless pretextual excuses for why it supposedly refused to deal with OJC. **But every one of Maersk's pretexts is disproven by its own documents.** Yet even to this very day, Maersk continues to press these frivolous "defenses."

Maersk's amassed unchecked money and power – made on the back of the entire world – have also emboldened it to litigate without any concern or respect for the rule of law. Maersk (i) refused to produce critical pricing information despite multiple Orders and discovery requests to do so, (ii) refused to produce for deposition Maersk management pricing witnesses and other witnesses as required by Order, (iii) abused the use of confidentiality and attorney's eyes only

designations in an effort to hide its outrageous behavior from public view, and (iv) refused to produce documents on its use of blank sailings to manipulate space, demand, and pricing. All of Maersk's tactics were done to prevent OJC and the FMC from learning about the devastating effects of their pricing practices, which have impacted not only OJC but the entire global economy.

Maersk's mockery of this proceeding has greatly prejudiced OJC. But it also calls into question whether **any** regulatory entity can reign in Maersk's – or any ocean carriers' – illegal practices. Indeed, another massive ocean carrier, MSC, has likewise taken that same approach in its proceeding. MSC has abjectly refused to produce required discovery despite multiple Court Orders, which has resulted in an Order to Show Cause why default judgment shouldn't be entered.¹³ Importantly, both Maersk and MSC are in the same 2M Alliance, consistently the top two container companies in the world, and collectively responsible for shipping around **40%** of all containers.¹⁴ If these two industry leaders' business and litigation tactics are not reined in, other carriers will undoubtedly follow their lead and similarly disregard the FMC's authority. It is incumbent on the FMC to put an end to the abusive practices of any enterprise, however large, that believes it is above the law.

In this Brief, OJC will prove with overwhelming evidence that Maersk willfully violated 46 U.S.C. §§ 41104(a)(3) and 41104(a)(10),¹⁵ and that OJC has been damaged severely as a result of Respondents' illegal actions.

¹³ CX 63-65.

¹⁴ CX 66.

¹⁵ OJC's claim of unreasonable practices under 46 U.S.C. § 41102(c) is no longer at issue, as Maersk paid the full amount of the wrongful demurrage charges sought in its Verified Amended Complaint (\$40,680.32). (CX 466 ¶ 3).

FACTUAL BACKGROUND

OJC is a company headquartered in Florida. OJC is an e-commerce retailer that sells dropship products from domestic inventory of hundreds of brands. OJC also has a direct import program where OJC buys household goods, including a wide variety of furniture and office products, globally for sale in the United States. OJC's imports come from Asia and Brazil, and are delivered to California or Kentucky. This case primarily concerns the latter, import business of OJC.¹⁶

Hamburg Sud North America, Inc. ("HSNA")¹⁷ was, until November 1, 2021, a wholly-owned subsidiary of the common carrier, HAMBURG SÜDAMERIKANISCHE DAMPFSCIFFFAHRTS-GESELLSCHAFT A/S & CO KG ("HSDG"). Both HSNA and HSDG are owned by Maersk A/S, one of the two largest ocean carrier container companies in the world.¹⁸ Over the past few years, Maersk increased its shipping rates to astronomical numbers, resulting in mind blowing profits. For example, its profits in 2021 exceeded its profits for the **past nine years combined**.¹⁹

¹⁶ (CX 467 ¶ 4).

¹⁷ The FMC has jurisdiction over HSNA because (a) it is a "person" subject to regulation by the FMC based on its acts in conjunction with HSDG in violation of 46 U.S.C. §§ 41104(a)(3), and 41104(a)(10) (for all, (a) "A common carrier, either alone or in conjunction with any other **person**, directly or indirectly, **shall not...**" (emphasis added)), (b) HSNA is a party to the Service Contract with OJC and both Respondents, and (c) as shown herein, HSNA and its employees were part and parcel of the decision to retaliate and refuse to deal with OJC.

¹⁸ In its Answer in this proceeding, HSDG stated that "**HSDG no longer exists**. HSDG was merged into its former parent company Maersk A/S on November 1, 2021." (CX 67, n.1) (emphasis added). Additionally, Juergen Pump – a former top executive for Respondents – testified that Maersk acquired Hamburg in 2017 and "[REDACTED]" (CX 89, 109:23 - 112:5.) As for HSNA, Respondents represented that on November 1, 2021, "HSNA became a wholly-owned, indirect subsidiary of Maersk A/S. On January 1, 2022, HSNA was merged into Maersk Agencies USA, Inc., the U.S. subsidiary and general agent of Maersk A/S." (CX 101 ¶ 2.)

¹⁹ CX 103-104.

The Parties' First Service Contract Year

The case is about Maersk's repeated and systematic violations of two sections of the Shipping Act of 1984. The relevant Parties'²⁰ relationship began on or about June 23, 2020, when OJC entered into what the Shipping Act calls a "Service Contract" with Maersk for the shipment of goods by sea from foreign countries to the United States and for the delivery to warehouse facilities within the United States via truck (hereinafter "Contract").²¹ The Contract governed the Parties' relationship between June 23, 2020 to May 31, 2021 (the "Active Term"), with minimum volume/quantity commitment ("MQC") for 400 TEU containers.²² (Contract 1, 7 of 16.) The shipping lanes were from East Asia to North America West Coast; the Parties also entered into a contract with shipping lanes from Brazil to North America East Coast and North America West Coast (collectively, "Shipping Lanes").²³

In the Contract, the parties also agreed the cargo shipped would be reasonably spaced throughout the Active Term²⁴ OJC was entitled to 8 TEU/week under the Contract.²⁵ Maersk's commitment was increased to 10 TEU/week on August 3, 2020.²⁶

²⁰ "The Parties" refers collectively to Maersk and OJC.

²¹ CX 119-135. The Contract's Number was AECC0000291. (CX 119.) (CX 467 ¶ 5).

²² CX 119-135. TEU is short for "Twenty-Foot equivalent unit" – which is the same as 200 FFE, short for "Forty-Foot Equivalent." In other words, two TEUs equals one FFE. (CX 467 ¶ 5).

²³ The Parties also entered into a Brazil to United States Agreement in March 2021. (Contract No. NOAQ1006436.) (CX 136-146.) (CX 467 ¶ 5).

²⁴ (CX 125) ("that the tender of cargo under this Contract shall be reasonably spaced throughout the term hereof.")

²⁵ (CX 147, July 13, 2020 4:28 PM email.) 8 TEU per week multiplied by 49 weeks (the length of the Contract) is approximately 400 TEU (the service commitment in the Contract).

²⁶ (CX 153, September 22, 2020 9:19 AM email); (CX 156.)

On September 22, Andrea Casanova²⁷ produced an internal chart that showed that Maersk was behind in fulfilling their obligations of 10 TEU/week under the Contract.²⁸ Two days later, Casanova communicated internally at Maersk that OJC was again refused space and that Maersk was not on track to meet OJC's 10 TEU/week MQC.²⁹

Maersk's failure to provide space as promised lead to them falling farther behind on living up to the terms of the Parties' Contract, and to OJC sending a demand letter on October 16, 2020, "regarding [Maersk's] unavailability to confirm our 10 teus [per week] commitment from Asia."³⁰ After the demand letter was sent, on October 19, Casanova again internally confirmed that the weekly commitment was 10 TEU and that OJC "was seeking for an additional space of 28 FFE to make up for the shortfalls due to our cancellations and declined bookings," with a breakdown of "Space rejected by carrier."³¹

Maersk knew it was in the wrong. On October 21, 2020, Michael Gast of Maersk's Risk Management sent a lengthy internal email about the situation, stating:

- What can we do to provide at least space for 8-10 TEU per week for this account? **I understand space is limited and other customers are paying a premium for space presently but any additional profit gained from those premiums is going to quickly go out the window if this matter goes to trial.**
- With a weekly average of 8 calculated by the MVC and number of weeks in the contract term **we are indeed behind by 56 [containers].**
- **This is a very bad case for us which we will likely lose** so I must ask that space dispensation be granted for this customer and they be treated with hyper care for the

²⁷ Casanova is an Account Executive for Respondents and point person in Maersk's dealings with OJC. (See, e.g., CX 155; CX 467 ¶ 6).

²⁸ (CX 153) (noting that "[OJC] reported that we are not confirming bookings" and "that there is a MQC[#] of 10 TEUS per week under the agreement # AECC0000291.")).

²⁹ (CX 148) (reiterating that "customer complains that no space is being released for week 41 and for week 40 and 42 there is confirmed less of the MQC (10 TEUS /WK).").

³⁰ CX 157-160.

³¹ CX 156.

immediate future until such time that things have stabilized and they have backed off their threats of formal lawsuit.

- At present **based on the emails I have seen I do not have confidence in our ability to establish that we are doing our part under these terms.** It also sounds like they have a lot of emails showing we have canceled their bookings w[hich] will only serve to make us look bad in front of a judge and jury.³²

Despite Maersk's internal admission that it was in the wrong, as of March 2021, OJC was still not receiving its contracted-for space from Maersk.³³

The Parties' Negotiations of a Renewed Service Contract

OJC was identified internally by Maersk as a "loyal customer with [a] long collaboration history."³⁴ As a result, throughout early 2021, Maersk sought to secure much more of OJC's business. Maersk did so through Casanova by promising to make OJC a priority customer by supplying more containers, dedicated space protection (or "SP"), and committed personnel to ensure better service for OJC's shipments. In reliance on Maersk's promises, OJC did not renew its service contracts with other carriers it had been using in 2020-2021 and agreed to consolidate all its imports with Maersk.³⁵

With the Contract set to expire on May 31, 2021, the Parties began negotiating in early 2021 about a service contract renewal for the 2021-2022 season.³⁶ Jacob Weiss of OJC and Casanova of Maersk were the lead negotiators.³⁷ Weiss informed Casanova that OJC had the demand during the 2020-2021 season to move 3500 High Cube ("HC") FFEs had Maersk provided

³² CX 161 (emphasis added).

³³ CX 169-173; CX 467 ¶ 7.

³⁴ CX 173.

³⁵ (CX 467 ¶ 8).

³⁶ CX 80, 194-195, ¶ 41; CX 468 ¶ 9. Service Contracts are negotiated during the spring of each year for the contract year starting between April-May until April-May of the following year. (CX 94, 161:1 - 163:1)

³⁷ CX 468 ¶ 9; CX 203.

OJC the space it was asking for, and that based on that demand, it could ship 4200 to 4700 containers with Maersk in 2021.³⁸ Therefore, the goal of both sides was to lock in a higher MQC/week to better meet OJC's increasing demand for containers.³⁹ OJC and Maersk agreed to the 4200-4700 container MQC for 2021-2022, and Casanova worked on getting the new contract drafted.⁴⁰

Casanova confirmed those deal points on April 27, 2021.⁴¹ That same day, Maersk confirmed internally that OJC's account should be added to Maersk's TPEB⁴² team's "target list," meaning that OJC's account was a priority target for renewal.⁴³

Respondents' reaction to OJC's demand to catch up with their MQC commitment

Respondents were not, however, living up to their weekly MQC. As a result, OJC sent a demand letter to Respondents on the subject:

Pursuant to the "Minimum Volume Commitment" clause of the agreement, [Page 7], HAMBURG SÜD committed to a minimum of 400 TEU between June 23, 2020 and May 31, 2021. **Over the last few months, HAMBURG SÜD refused to accept the agreed upon 10 TEUs per week, as a result OJC has accumulated over 40 containers waiting for shipment, causing significant economic harm and interruption of business.**

OJC hereby provides HAMBURG SÜD notice of breach of the Service Agreement, which has caused significant economic harm to OJC. I hereby demand that

³⁸ CX 468 ¶ 10; (CX 203) (stating OJC said it "'plan[ned] to move between 4200 to 4700 FFE in 2021.'). Casanova's email confirmed Weiss's statements but mistakenly stated that OJC had in fact moved 3500 FFEs in 2020, when Weiss had actually conveyed that demand for OJC's products was such that it could have moved 3500 containers if Maersk had made that space available. (CX 468 ¶ 10.) This narrative is consistent with Casanova's testimony at deposition where she confirmed that during the 2020 service period, OJC continuously asked her to provide them with more space than had been allocated under the contracts. Specifically, "[REDACTED]" more per week. (CX 206-208, 175: 8-22 and 208:20 - 209:1.)

³⁹ (CX 468 ¶ 10); (CX 203.)

⁴⁰ (CX 468 ¶ 11); (CX 203.)

⁴¹ CX 203.

⁴² TPEB is short for Trans-Pacific East Bound, in other words, shipments from Asia to North America. (CX 410, 128:8-14.)

⁴³ CX 411, 134:3 - 135:17; CX 203.

HAMBURG SÜD immediately honor the Service Agreement rates and minimum TEU quantities. **Failure to cure the breach by May 3, 2021, may result in legal action against you and your affiliates, as well as the filing of a petition to the Federal Maritime Commission to seek relief.**⁴⁴

On April 29, 2021, the day after the demand letter was sent, Casanova confirmed internally that Maersk had indeed failed to satisfy the MQC by 18 FFE because space for OJC had been declined.⁴⁵ Casanova also confirmed that she had spoken to Weiss and “**he does not want to end the relationship with us and just look for the fair that we promised,**” and that “[h]e is open to any solution that can offset this deficit.”⁴⁶

Casanova went on to state that “based on the above and since we are working to renew the contract” that Maersk should initially increase the MQC by 200 FFE giving a total of 400 FFE, in order to cover the deficit and commit to handling more of OJC’s shipping volume.⁴⁷ Casanova even put together a new service contract, “NOAC10000728 Effective June 1, 2021, until May 31, 2022,” which contained “**the same lanes, rates, and conditions of the current contract AECC0000291** and an increased MQC 400 FFE.”⁴⁸ All of this took place months before the spot market rates went through the roof.⁴⁹

Consistent with her internal email, Casanova had informed Weiss after the demand letter was sent that the 400 FFE (800 TEU) contract was a good faith commitment by Respondents to placate OJC for the shortfalls under the first contract – both for the weekly commitment that was 105 TEU short and the MQC that was 15 TEU short – but also to lock in the entirety of OJC’s

⁴⁴ CX 210 (emphasis added).

⁴⁵ CX 215.

⁴⁶ CX 215 (emphasis added).

⁴⁷ CX 215.

⁴⁸ CX 214 (emphasis added).)

⁴⁹ CX 468 ¶ 12.

shipping volume.⁵⁰ Casanova and Weiss reached agreements to make up for the past and to finalize the written agreement for 4200-4700 FFE for 2021-2022.⁵¹ But instead, Maersk management decided to retaliate against OJC.

ARGUMENT

I. LIABILITY.

A. Maersk retaliated against OJC by (1) unreasonably refusing to renew or even negotiate a service contract with OJC, and (2) by refusing to fulfill Maersk’s existing contractual obligations.

Unbeknownst to OJC, however, *within hours* Casanova would be overruled and Maersk would willfully retaliate against OJC. Maersk retaliated in two ways: (1) it unreasonably refused to honor the service contracts with OJC for 2021-2022; and (2) it refused to fulfill its then-existing obligations under the Parties’ service contract for 2020-2021. And Maersk did both of these retaliatory acts simultaneously. As shown below, Maersk **repeatedly admits** that it retaliated based solely on a reason explicitly prohibited by the Shipping Act: **Because OJC had threatened to file a complaint against Maersk for its violations of the Shipping Act.** That fact is undisputed in Maersk’s own emails, pleadings, and sworn testimony.

On April 29, 2021, within hours after Casanova’s email describing a renewal contract and *the day after* receiving a threat from OJC to file a complaint with the FMC,⁵² Kevin Li of Maersk, sent an email entitled “OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021” to Juergen Pump.⁵³ Pump was the then-top executive of HSNA.⁵⁴ Li

⁵⁰ CX 215; CX 468 ¶ 13.

⁵¹ CX 215; CX 468 ¶ 13.

⁵² CX 210 (“Failure to cure the breach by May 3, 2021, may result in legal action against you and your affiliates, as well as **the filing of a petition to the Federal Maritime Commission to seek relief.**” (emphasis added).)

⁵³ CX 220-221.

⁵⁴ CX 91, 128:6-10; CX 412, 143:23 - 144:11.

informed Pump that Maersk had not provided the agreed-upon space in the Parties' Service Contract and OJC had threatened litigation.⁵⁵ Pump responded to Li's question as to whether Maersk "still want[ed] to engage this account with contract renewal" by stating:

Hi Kevin.

Fully agree. **We should not engage in any renewal discussions with customer in light of the potential litigation. I would also not provide them with space under the existing contract.** The shortfall will be compensated as per contract terms.

Brgds

JP⁵⁶

Thus, in this one-paragraph smoking gun email, the top brass at Maersk retaliated against OJC by (1) unreasonably refusing to deal with OJC **and** (2) by cutting off OJC from the space it was due under the Parties' then-current contract.

Subsequently, Li informed the service contract negotiating team of Pump's "executive decision" to "not engage in any renewal discussion with [OJC] in light of potential litigation":

As you mentioned, I was completely unaware of their legal action against us since I left the TPEB team. I consulted with Juergen [Pump] and **the executive decision is that we should not engage in any renewal discussion with customer in light of potential litigation. Please disengage on renewal negotiation with this account, thanks.**⁵⁷

Li also relayed Pump's decision to cut off OJC from any further available space under the parties' then-existing Contract:

But just to express our position on this, **we should also consider not to provide them with space under existing contract.**⁵⁸

The decision to cut off OJC in retaliation for sending its threat of an FMC complaint spread throughout Maersk within hours:

As it stands I believe we are unlikely to meet our duties under these contract

⁵⁵ CX 220-221.

⁵⁶ CX 220 (emphasis added).

⁵⁷ CX 227 (emphasis added) (April 29, 2021 email).

⁵⁸ CX 227 (emphasis added) (April 29, 2021 email).

terms. I have raised this issue to both commercial teams here and colleagues at origin responsible for accepting these bookings. The first time this occurred I stressed the financial impact such a lawsuit could carry and I have done so again. **It appears our local sales colleagues had tried to address the capacity issue with origin but were advised that no additional space would be granted for this customer.**⁵⁹

Maersk even admitted that OJC was blindsided by Maersk's refusal to deal and renew the Parties' service contract:

41. During April 2021, the parties were engaged in discussions about renewing the parties' service contract. Throughout those discussions, there were conversations about the MQC of the renewal, but never about there being no renewal at all.

Admitted.

42. Out of the blue and with no prior notice, on May 4, 2021, Respondents unilaterally notified Complainant that there would be no service contract renewal **under any terms**, but instead that Respondents would "work case by case" with Complainant using spot market rates. Thereafter, Complainant attempted to negotiate a contract with an even more limited scope – such as a port-to-port only contract – but Respondents rejected Complainant's proposal out of hand within hours, leaving Complainant entirely without a shipping service contract of any sort past May 31, 2021.

Admitted.⁶⁰

Therefore, Maersk retaliated against OJC in two ways *explicitly prohibited by the Shipping*

Act:

A common carrier, either alone or in conjunction with any other person, directly or indirectly, **may not . . . retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods** because the shipper has patronized another carrier, **or has filed a complaint, or for any other reason.**⁶¹

⁵⁹ CX 229 (emphasis added), in a chain with OJC's email and demand letter dated April 28, 2021 (CX 209-211).

⁶⁰ CX 80, 194-195 (emphasis added).

⁶¹ 46 U.S.C. § 41104(a)(3) (emphasis added); *see also* 46 U.S.C. § 41102(d); *see also* 46 U.S.C. § 41104(a)(10) (mandating that "[a] common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not . . . unreasonably refuse to deal or negotiate.").

Maersk retaliated against OJC due to its threat of a complaint to the FMC, willfully denied OJC available cargo space mandated by the parties' then-existing Contract, and also unreasonably refused to deal with OJC. Maersk cannot reasonably dispute that point.

Maersk's retaliation was also done knowingly in violation and in willful disregard of the Shipping Act. Pump – who made “the executive decision [] that [Hamburg] should not engage in any renewal discussion with customer [OJC] in light of potential litigation”⁶² – admitted in his deposition⁶³ that Maersk knew it was not allowed to retaliate against OJC based on the threat of a lawsuit or FMC complaint:

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] 64

⁶² CX 227.

⁶³ OJC repeatedly objected to Pump's testimony being labeled confidential by Respondents. It is Respondents' burden to overcome the presumption that material attached to or included in a substantive filing is subject to the public right to access, which Respondents have never even attempted to carry. *Johnson v. Greater Southeast Cmty. Hosp.*, 951 F.2d 1268, 1277 (D.C. Cir. 1991). Particularly in a case such as this, where global, public interests are implicated, Respondents' “desire to keep indiscreet communications out of the public eye ... is not enough to satisfy [the] standard for good cause [to overcome the presumption of public access].” *Callahan v. United Network for Organ Sharing*, 17 F.4th 1356, 1364 (11th Cir. 2021). The Court should therefore overrule Respondents' confidentiality designations and unseal Pump's testimony, as well as all other sealed documents filed in this case wherein Respondents abused their designations.

⁶⁴ CX 96, 208:4-18.

In fact, Maersk had internal compliance training on the Shipping Act. As a result, Maersk knew that a customer threatening or actually bringing a lawsuit or FMC complaint was not a legitimate reason to refuse to deal or negotiate with that customer:

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]⁶⁵

Despite knowing that they were **not** allowed to retaliate against OJC by refusing to deal or negotiate based on threatened legal action, Pump and Maersk willfully retaliated against OJC anyway.

As a result of Maersk's retaliation, in 2021-2022, OJC was forced to mitigate its losses, and obtain what limited space it could on the spot market at extremely high rates. But often OJC was unable to secure shipments, and in most cases was forced to forgo making shipments of goods to the United States altogether because the spot rates became too expensive to justify the cost of container freight. Due to its retaliating against OJC for complaining about Maersk's violations of the Shipping Act, Maersk massively harmed OJC's direct import product business and in the process caused an enormous amount of damages to OJC.⁶⁶

B. Maersk's after-the-fact pretexts for its retaliation and refusal to deal are all baseless.

As shown in its own internal emails, Maersk willfully retaliated against OJC by refusing to honor the deals for 2021-2022, and by refusing to live up to its contractual obligations. Maersk has nonetheless refused to concede liability. Instead, it has unreasonably relied on a variety of baseless pretexts that are completely disproven by Maersk's contemporaneous emails and documents.

To discover Maersk's alleged bases for not renewing a service contract, OJC asked Maersk

⁶⁵ CX 95-96, 204:24 – 206:19 (emphasis added).

⁶⁶ CX 468-469 ¶ 14.

in its First Interrogatory No. 7 (“OJC INT 7”) to “[i]dentify and describe in detail the reasons, policies, and considerations concerning [Maersk’s] unwillingness or refusal to renew or enter into a Service Contract with OJC.”⁶⁷ In response, Maersk gave seven pretexts in an attempt to justify its illegal actions:

[T]he decision was based in part on [i] OJC’s relatively low volume commitment, [ii] OJC’s lack of cargo volume in other trade lanes, [iii] the availability of space in the Transpacific trade, [iv] the rate levels sought by OJC, [v] Respondent’s past experience with the timeliness of OJC’s payment and the perceived credit risk associated with that payment history, and [vi] the fact that OJC did not purchase ancillary services from Respondent. Respondent’s decision was also based in part on [vii] OJC’s disputatious manner of doing business and its repeated and excessive threats to pursue litigation against Respondent, which threats were disproportionate to the issues between the parties and also disregarded the dispute resolution procedures and remedies for breach of contract set forth in the service contract between the parties.⁶⁸

Each of Maersk’s pretexts is addressed below:

[i] OJC’s relatively low volume commitment pretext: To the contrary, Casanova promised that Maersk would provide an initial contract of 400 FFE⁶⁹ MQC, to make up for past failures by them and to show its interest in handling more of OJC’s shipping volume.⁷⁰ Maersk sought to win more of OJC’s shipping business, and admitted that OJC could move between 4200-4700 FFE with a renewal contract.⁷¹ Casanova even testified that during the term of the first Contract, OJC was always asking for more containers, above and beyond the 10 TEUs per week that Respondents were already obligated to provide:

[REDACTED]

[REDACTED]

⁶⁷ CX 236.

⁶⁸ CX 236.

⁶⁹ 400 FFE equals 800 TEU.

⁷⁰ CX 214-215.

⁷¹ CX 203.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Therefore, Maersk's "relatively low volume commitment" pretext had no basis in fact, as proven by its own statements and testimony.

[ii] OJC's lack of cargo volume in other trade lanes pretext: *See* [i] above. Also, OJC had a contract with Maersk for shipments from Brazil and even planned to move thousands of additional containers through Kentucky.⁷³ And according to Pump, OJC shipping to Kentucky made OJC "more attractive" as a customer.⁷⁴ Maersk's own internal emails admit that for the 2020-2021 contract, OJC originally proposed a minimum volume of "1266x40hc per year" that included a Kentucky line, but Maersk "rejected it initially."⁷⁵ Maersk subsequently regretted its decision to reject OJC's 2020-2021 volume – which was significantly higher than the 400TEU MQC in the Contract – stating "[e]specially for this kind of volume, I would have love[d] to take a look before we declined 2500TEU."⁷⁶ Thus, by Maersk's own admission, OJC's supposed lack of shipping volume in other trade lanes was Maersk's fault, not OJC's.

[iii] the availability of space in the Transpacific trade pretext: *See* [i] and [ii] above. Moreover, OJC demanded that Maersk "[i]dentify how many Service Contracts [Maersk] entered

⁷² CX 206, 175:8-22 (emphasis added).

⁷³ CX 469 ¶ 15 ; CX 136-146; CX 203.

⁷⁴ CX 92-93, 137:13 - 139:20, 142:3-21.

⁷⁵ CX 242-243.

⁷⁶ CX 242.

into during 2021 on or after April 28, 2021, including for each such Service Contract the date it was entered into, total FFEs or TEUs, the shipping lines included, and the shipping prices.”⁷⁷ Maersk refused to produce the shipping prices – more on that willful refusal shall be addressed later – but it did produce a list of such contracts and the MQC for each. That list showed that Maersk had entered into service contracts with a prefix of NOAC⁷⁸ for [REDACTED] **after** Maersk made the “executive decision” on April 29, 2021 to retaliate against OJC.⁷⁹ Thus, Maersk’s own documentation yet again disproves that it had no space available.

[iv] the rate levels sought by OJC pretext: Pump testified that it was “unreasonable” for OJC to request the same contract rates for its renewal.⁸⁰ But it was **Maersk who proposed a “new contract [with] the same ... rates ... of the [then-]current contract.”**⁸¹ This fact alone totally destroys Maersk’s fourth baseless pretext. Additionally, the rates only started to significantly increase months after Maersk’s retaliation.⁸²

[v] Maersk’s past experience with the timeliness of OJC’s payment and the perceived credit risk associated with that payment history pretext: Maersk produced no documents that supported this cooked-up pretext. The only dispute that the Parties had about payment occurred **after** Maersk retaliated against OJC – when Maersk charged OJC baseless demurrage fees and OJC was forced to pay them to obtain its shipments.⁸³ As it turned out, OJC was right in challenging the fees, as

⁷⁷ CX 255.

⁷⁸ The prefix for Maersk’s 400 FFE MQC contract proposed by Casanova to make up for their shortfalls in 2020-2021 was NOAC. (CX 214.) (referencing “NOAC10000728 Effective June 1, 2021, until May 31, 2022”).

⁷⁹ CX 469 ¶ 16; CX 283-284; *see also* CX 285-286, HSDG’s Resp. to OJC RFA 1-4 (Respondents admitting that they entered into service contracts after they retaliated against OJC).

⁸⁰ CX 98-100, 227:25 - 229:3, 235:4 - 236:8.

⁸¹ CX 214.

⁸² CX 468 ¶ 12.

⁸³ CX 292-294; CX 469 ¶ 17; CX 466 ¶ 3.

Maersk ended up refunding them all after this case was filed.⁸⁴

[vi] the fact that OJC did not purchase ancillary services from Maersk pretext: Again, this pretext is yet another one that appears nowhere in any of the contemporaneous emails sent at or around the time of Maersk's retaliation. And this excuse makes no sense as OJC was willing to commit to shipping exponentially more containers with Maersk, which would have meant even larger profits from OJC. Additionally, the [REDACTED] TEUs that Maersk contracted for *after* its retaliation against OJC does not reflect that it was conditioned on any ancillary services. Even on its own merits, the legality of Maersk conditioning its willingness to negotiate or deal with OJC on a service contract with purchasing "ancillary services" is questionable at best.

[vii] OJC's disputatious manner of doing business and its repeated and excessive threats to pursue litigation against Maersk pretext: This is perhaps Maersk's most repugnant excuse. As admitted by Maersk's Risk Management, OJC had only sent **two** threats of litigation to Respondents.⁸⁵ And in **both instances**, Maersk admitted in their internal emails that it was in the wrong, **not OJC**.⁸⁶ Even so, Maersk knew that it was explicitly precluded from retaliating against OJC for its threats to take its complaints to the FMC. For Maersk to use OJC's admittedly-justified complaints as reasons for retaliating OJC shows very clearly how arrogant Maersk has become and how above the law they feel. No wonder shippers are afraid to complain to the FMC – as the FMC has noted – because even when the shipper is admittedly in the right, the carriers still retaliate, without remorse or fear of consequence.

Maersk has also argued the inability of the parties to come to a renewal contract was about

⁸⁴ CX 469 ¶ 17; CX 466 ¶ 3.

⁸⁵ CX 296, 131:4-21.

⁸⁶ CX 161, 215.

Maersk “refus[ing] to accede to every demand of [OJC].”⁸⁷ But as shown above, there is no factual basis for that assertion. Instead, Maersk’s unreasonable refusal to deal or negotiate was a direct result of it retaliating against OJC for threatening to file a FMC complaint, an act explicitly prohibited by the Shipping Act.

Maersk’s pretextual excuses can only be viewed as frivolous and pursued in bad faith. Maersk’s own emails, sent at the time of the retaliation, make no mention of any of its excuses as being a reason for retaliating and refusing to deal or negotiate with OJC. And Maersk knew from its own internal compliance training that doing so was a violation of the Shipping Act. To add insult to injury, Maersk then pressed unsupported “defenses” that are disproven by the words out of their own mouths and emails. If a carrier is not punished when such clear violations exist as this, then the Shipping Act will be no deterrence to the massive carriers that are already willfully flouting its prohibitions.

II. RESPONDENTS’ SANCTIONABLE CONDUCT

A. Maersk should be sanctioned and precluded from challenging OJC’s damages based on Maersk’s repeated violations of Court Orders and FMC Rules.

Maersk has been entirely successful in preventing transparency about its pricing strategy, including its spot market rate pricing, which the Presiding Officer has previously found to be “highly relevant to the claims in this proceeding.”⁸⁸ Maersk’s violations include its:

- Refusal to produce all policies, procedures, guidance, training, or instructions regarding pricing for shipping or determining prices charged for shipments under service contracts and on the spot market, as ordered on June 29, 2022;
- Continued refusal to provide complete discovery responses about pricing, as again ordered on August 31 after they refused to comply with the Court’s previous Order;

⁸⁷ Respondents’ Partial Motion to Dismiss and/or for Summary Judgment, dated July 26, 2022, at 6.

⁸⁸ CX 308.

- Refusal to identify Maersk management pricing witnesses and agree on a date and time for their depositions by no later than September 7, as also ordered on August 31;
- Refusal to produce Maersk CEO Soren Skou after the Maersk management pricing witness were not provided for deposition;
- Abusive use of confidentiality designations that do not comply with the law so as to conceal Maersk's illegal acts from the public;
- Refusal to provide their service contract and spot market rates containing all fees during discovery, despite multiple requests from OJC and Orders for that information; and
- Refusal to produce documents on their use of blank sailings to manipulate space, demand, and pricing.

Maersk has precluded OJC from examining Maersk's pricing-related information, questioning their witnesses about it, including it in OJC's expert's damages analysis, and presenting it to the FMC for consideration as part of OJC's case on the merits. And while OJC has made its case in this Brief for damages with the information it has been able to procure from a variety of sources – which OJC believes are lower than what Maersk in reality collected – the most probative evidence from Maersk has been concealed. This hiding of “highly relevant” information from OJC has been extremely prejudicial because, to this day, neither OJC nor the FMC know how much Maersk charged on the spot market. Maersk should not be allowed to get away with its deception.

As the D.C. Circuit has rightly held, “[a] court without the authority to sanction conduct that so plainly abuses the judicial process cannot function.”⁸⁹ Maersk's vexatious litigation conduct must have a consequence if this system is to properly function. At the very least, Maersk should be sanctioned with an adverse evidentiary determination of OJC's damages being

⁸⁹ *Parsi v. Daiouleslam*, 778 F.3d 116, 118 (D.C. Cir. 2015).

conclusively established, and unchallengeable by Maersk. To not do so would incentivize Maersk and other carriers to withhold highly relevant information, and continue their flouting of the law.

Maersk's misconduct was repetitive and willful:

First, Maersk refused to produce any documents in response to OJC RFP 26, which was originally served on March 7, 2022. On June 29, 2022, the Presiding Officer granted OJC's motion to compel responses, ordering Maersk to produce "any policies, procedures, guidance, training, or instructions regarding pricing for shipping or determining prices charged for shipments under service contracts and on the spot market."⁹⁰ Maersk refused to comply with the Court's Order.

Second, on August 31, 2022, after OJC moved for expedited relief, the Presiding Officer stated that "Respondents are again ordered to provide complete responses to OJC RFP 26 and all responsive documents must be provided within seven calendar days of the date of this order [September 7, 2022]."⁹¹ The Presiding Officer "warned that failure to do so may result in sanctions, including directing facts to be established, prohibiting claims or defenses, striking pleadings, or dismissing claims or defenses. 46 C.F.R. § 502.150(b)."⁹² The Court also found that "the spot market rates reflect pricing and pricing strategy .. [that is] information ... **highly relevant** to the claims in this proceeding."⁹³

Although Maersk pretends that the documents they have produced were sufficient, they clearly do not reflect the prices that Maersk really charged shippers. When this issue was previously raised, Maersk intentionally misled the Court leaving it confused about what in fact was produced.⁹⁴ The documents Maersk claims are fully responsive to this request state that the

⁹⁰ CX 300.

⁹¹ CX 309.

⁹² CX 309.

⁹³ CX 308 (emphasis added).

⁹⁴ CX 317.

prices do not include “Origin Charges, BAF, ISPS, and ECA.”⁹⁵ And although the pricing charts contain entries for BAF and ECA charges, the Origin Charges and ISPS charges are not included. Nor are any “premium” charges included, which Maersk refers to itself in internal emails.⁹⁶ This information was withheld and never produced by Maersk throughout the whole discovery period. Without this information, OJC still does not have Maersk’s full spot market rate pricing information that is “highly relevant” to OJC’s claims.

Third, also in the Court’s August 31, 2022 Order, the Presiding Officer held:

Respondents are hereby ordered to identify Maersk management who would have information regarding pricing decisions. If appropriate Maersk witnesses are provided, then the depositions of Maersk CEO Soren Skou and CFO Patrick Jany will not be required. However, if appropriate witnesses at Maersk are not identified and provided for deposition, then the depositions of Maersk CEO Soren Skou and CFO Patrick Jany will be permitted. Even if Maersk were considered a non-party, if their managers have relevant information then their testimony can be subpoenaed. **Respondents must identify appropriate witnesses and within seven calendar days of the date of this order [September 7, 2022] agree on a date and time for their depositions.**⁹⁷

But Maersk did not comply with this part of the Court’s Order either. Instead, Maersk did not even identify a proposed date and time for a Maersk management witness until **September 29 – 22 days late** – and after the initial discovery period had already expired.⁹⁸ The proposed date was Yom Kippur, on which Maersk knew OJC and undersigned counsel would not be available.⁹⁹ A few overflow hours were offered on the Friday after if OJC couldn’t get all its questions answered

⁹⁵ CX 320-321.

⁹⁶ CX 322 (“[OJC] ha[s] pushed several times for additional space which we informed only by *premium rate*.” (emphasis added)); CX 53 (“Premium Charge” column) in reference to *other carriers*.)

⁹⁷ CX 312 (emphasis added).

⁹⁸ CX 323.

⁹⁹ Yom Kippur, October 5, 2022, is one of the most important Jewish holidays of every year. CX 7, ¶ 53, 323.

on Yom Kippur.¹⁰⁰ Maersk’s delay tactic violated the Court’s Order by running out the clock, and precluded OJC from taking the deposition.

Regardless, Maersk pretended to produce a witness on October 7, 2022 for an hour, knowing that there was no agreement that a unilaterally-limited deposition would take place on that date.¹⁰¹ Maersk’s charade – obviously concocted to make it appear like they were cooperating – went well past just violating the Judge’s August 31 Order and descended into mocking it.¹⁰² Maersk then compounded its contempt by subsequently ignoring OJC’s notice of deposition for Maersk’s CEO that the Court ordered if Maersk would not provide the pricing executive as required.¹⁰³

Fourth, Maersk also abused the confidential and attorneys’ eyes only designations of discovery materials throughout this proceeding to hide non-confidential information about illegal activity from OJC and public view. Maersk has made no attempt to overcome the presumption that material attached to or included in a substantive filing is subject to the public right to access.¹⁰⁴ Nonetheless, Maersk designated and continues to maintain the wrongful designations after challenges from OJC. Particularly in a case such as this, where compelling global economic interests are implicated, Maersk’s “desire to keep indiscreet communications out of the public eye ... is not enough to satisfy [the] standard for good cause [to overcome the presumption of public access].”¹⁰⁵ Indeed, once a document has been filed, the public should be allowed access to it, and

¹⁰⁰ CX 7, ¶ 53, 323.

¹⁰¹ CX 325.

¹⁰² CX 325.

¹⁰³ CX 334-336.

¹⁰⁴ See *Johnson v. Greater Southeast Cmty. Hosp.*, 951 F.2d 1268, 1277 (D.C. Cir. 1991) (holding that the “presumption of openness” of court records and documents applies in the civil context, as well as criminal).

¹⁰⁵ *Callahan v. United Network for Organ Sharing*, 17 F.4th 1356, 1364 (11th Cir. 2021).

all of Maersk's documents filed under seal must be unsealed.¹⁰⁶ This Court should not allow Maersk to keep its willful violations of federal law secret from the world. Moreover, the Court should award OJC its "attorney's fees and costs related to obtaining an order de-designating the Confidential designation," as mandated by the Parties' Confidentiality Agreement.¹⁰⁷

Fifth, Maersk refused to produce any documents – including all internal and external communications – concerning their policies, procedures, or plans concerning blank sailings (which are used to manipulate pricing and space),¹⁰⁸ documents showing their actual spot market rates charged for 2021-2022,¹⁰⁹ and documents showing their service contract rates for 2021-2022.¹¹⁰ Maersk's behavior is just another example of their obstinate refusals, showing that Maersk would rather risk sanctions from the FMC than be transparent about its illegal pricing practices over the past two years.

The Presiding Officer has already warned Maersk that it could sanction it for failing or refusing to obey an order requiring it to make disclosures or to respond to discovery requests.¹¹¹ An order of the presiding officer addressing such sanctions may:

- (1) Direct that the matters included in the order or any other designated facts must be taken to be established for the purposes of the action as the party making the motion claims;
- (2) Prohibit the disobedient party from supporting or opposing designated claims or defenses, or from introducing designated matters in evidence; or
- (3) Strike pleadings in whole or in part; staying further proceedings until the order is obeyed; or dismissing the action or proceeding or any party thereto, or rendering a decision by default against the disobedient party.

¹⁰⁶ See *E.E.O.C. v. National Children's Center, Inc.*, 98 F.3d 1406, 1410 (D.C. Cir. 1996).

¹⁰⁷ CX 360, ¶ 25.

¹⁰⁸ CX 367 (OJC 2d RFP 2).

¹⁰⁹ CX 367, 376-377 (OJC 2d RFP 4 and OJC 3d RFP 20).

¹¹⁰ CX 376 (OJC 3d RFP 19); CX 7, ¶ 54.

¹¹¹ CX 309.

46 C.F.R. § 502.150(b). Rule 37(b) provides similar remedies as well.¹¹²

Issue-related sanctions include adverse evidentiary determinations – such as adverse findings of fact, considering an issue established for the purpose of the action and adverse inferences – and precluding the admission of evidence.¹¹³ “A court can impose issue-related sanctions after finding by a preponderance of the evidence that the alleged misconduct occurred.”¹¹⁴ Regarding the misconduct giving rise to the sanction, courts have routinely found that an adverse evidentiary determination is appropriate when a preponderance of the evidence establishes that the conduct was negligent.¹¹⁵ No finding of willful intent is required.¹¹⁶

Here, Maersk repeatedly refused to produce **any documents** that identify **all the charges included in their spot market pricing** – which was ordered multiple times by this court – effectively precluding OJC from discovering that “highly relevant” pricing information.¹¹⁷ **Maersk also refused to produce any service contract pricing.** Maersk’s refusals were persistent and continued even after being warned by the Court.¹¹⁸ Maersk’s failure to produce relevant pricing information easily meets the negligence standard, particularly since its refusals were knowing and repetitive.¹¹⁹

¹¹² See *Parsi*, 778 F.3d at 128 (citing Fed. R. Civ. P. 37(b)(2)(A)).

¹¹³ *Shepherd v. American Broadcasting Companies, Inc.*, 62 F.3d 1469, 1475 (D.C. Cir. 1995).

¹¹⁴ *3E Mobile, LLC v. Global Cellular, Inc.*, 222 F. Supp. 3d 50, 54 (D.D.C. 2016) (citing *Shepherd*, 62 F.3d at 1478).

¹¹⁵ *3E Mobile*, 222 F. Supp. 3d at 54.

¹¹⁶ *Id.*

¹¹⁷ CX 308.

¹¹⁸ CX 309.

¹¹⁹ See *Parsi*, 778 F.3d at 133 (affirming sanctions where party denied the existence of documents and disobeyed court orders to produce certain material).

Maersk has prevented OJC and the FMC from discovering the true facts behind Maersk's outrageous pricing strategies. As a result, Maersk should be sanctioned with an adverse evidentiary determination of OJC's damages being conclusively established, and unchallengeable by Maersk.

III. DAMAGES

A. **OJC is entitled to reparations for the actual injury it sustained as a result of Maersk's violations of the Shipping Act.**

As explained above, Maersk clearly violated the Shipping Act by retaliating against OJC and refusing to deal with OJC. As detailed below, those violations seriously damaged OJC and caused it to sustain actual injury. Consequently, OJC is entitled to an order directing Maersk to pay OJC's reparations for its actual injuries sustained. 46 U.S.C. § 41305(b).

To assist the Commission in determining the appropriate measure of damages in this case, OJC retained Richard C. Berning. Mr. Berning has been involved in hundreds of matters involving damages and business valuations in a variety of venues over the past thirty years. He has been appointed by the Courts as an expert witness and Financial Early Neutral Evaluator and testified on more than 145 occasions. He is a frequent speaker locally and nationally on business valuation, damages and related topics, having developed and/or taught more than 170 courses to various professional and business organizations. Mr. Berning's formal curriculum vitae is attached to his Expert Report.¹²⁰

Mr. Berning has analyzed the injurious effects of Maersk's Shipping Act violations under three different methodologies, two of which are the focus of this brief.¹²¹ Specifically, **(1) Lost Profits; and (2) Shipping Rate Differentials.** Both methods of calculating damages are

¹²⁰ CX 438, 448-459

¹²¹ Berning also included a Market Value of Lost Revenue method of calculating damages. (CX 430-432.) But for purposes of focusing the methods for this Brief, OJC will primarily be discussing Lost Profits and Shipping Rate Differentials.

straightforward and demonstrate the magnitude of injury Maersk’s violations of the Shipping Act had on OJC. Weiss of OJC also calculated OJC’s damages consistent with the mathematics outlined below.¹²² Indeed, Weiss has 30 years of experience calculating damages, profits, costs, financials, and other business- and litigation-related calculations.¹²³

1. OJC’s Lost Profits.

Lost profits are a “recognized measure of damages where their loss is [1] the proximate result of the [violation] and [2] the fact that there would have been a profit is definitely established, and [3] there is some basis on which a reasonable estimate of the amount of profit can be made.”¹²⁴ As shown below, OJC can clearly demonstrate all three elements of a lost profits claim. It is clear that OJC would have profited from its renewed contract had Maersk not retaliated and refused to deal with OJC in violation of the Shipping Act. OJC’s lost profits resulting from Maersk’s violations consist of the following categories of damages:

1. Loss for failure to meet minimum TEU during fiscal year 2020
2. Loss due to failure to provide the committed weekly MQC during fiscal year 2020
3. Freight charges above contract rates during fiscal year 2021
4. Loss due to refusal to renew contract during fiscal year 2021

These damages use the following defined terms for the calculation of each of the four categories of lost profits:

Fiscal Year 2020: Shipping contracts in this instance cover the period starting June 1 through May 31 the following year. “Fiscal Year 2020” is for the period June 1, 2020 through May 31, 2021.

¹²² CX 469 ¶ 18.

¹²³ CX 469 ¶ 18.

¹²⁴ *Neely v. United States*, 152 Ct.Cl. 137, 285 F.2d 438, 443 (1961).

Fiscal Year 2021: “Fiscal Year 2021” is the period June 1, 2021 through May 31, 2022.¹²⁵

OJC also made the following calculations as part of determining the damages caused by Maersk:

Average Revenue Per Container: OJC compiled an average revenue per container shipped during the period June 1, 2020 through July 16, 2022. These amounts are based on actual products shipped and the selling price of the products. The average revenue per container was computed to be [REDACTED].¹²⁶

Average Gross Profit Per Container: Based on the same containers that were used for the average revenue calculations above, OJC computed the average gross profit per container to be [REDACTED]. Gross profit is revenue less the costs of the product. To compute the cost of the product, OJC captured all the costs including [REDACTED]

[REDACTED]. [REDACTED]. All

these costs were captured and deducted. Even though OJC was projecting significant increase in sales in fiscal 2021 (and resulting need for additional containers), [REDACTED]

[REDACTED] Accordingly, the direct variable costs included produce the net profit per container. As a result, OJC has captured the vast majority, if not all, of the costs relating to the sale of products.¹²⁷ The calculations are included on an attached spreadsheet.¹²⁸

Expected Containers for Fiscal Year 2021: OJC experienced incredible demand for its products in late 2020 and early 2021 due in large part to the COVID pandemic during which

¹²⁵ CX 422-423; CX 469-470 ¶ 19.

¹²⁶ CX 423; CX 470 ¶ 20.

¹²⁷ CX 423; CX 470 ¶ 20.

¹²⁸ CX 470-471 ¶ 20 and Weiss Ex. 101.

millions purchased household goods – such as those sold by OJC – while they sheltered at home. This increased demand was especially true for the company’s direct import program. This increased demand is evidenced by OJC repeatedly asking for more space from Maersk throughout 2020-2021 over and above its MQC.¹²⁹ The products sold through the direct import program produce higher profit margins than products that were sold from domestic inventory.¹³⁰

Prior to the start of Fiscal Year 2021, OJC undertook a study to estimate the number of containers that they would need in that coming year. These projections estimated the sales of each product and the number of containers that would be needed, and came to the conclusion that 4,598 containers would be needed for Fiscal Year 2021. Because of these calculations, OJC agreed with Respondents to ship 4,200 to 4,700 containers for fiscal 2021.¹³¹ These amounts are corroborated in an April 27, 2021 email from Casanova sent to Ivan Cheung and Li (all within Maersk) which states that OJC “plans to move between 4200 to 4700 FFE in 2021.”¹³²

OJC’s increased expectations at that time was consistent in the marketplace for the types of products that OJC was offering, *i.e.*, household goods that consumers were buying in huge numbers because they stayed home during the pandemic.¹³³ These increased expectations are also consistent with Maersk’s CEO’s observations and experience with drastically increased volumes at that time:

“I mean pretty much everybody have bought the new couch, the new set of lounge furniture, the new TV screen, whatever, all the things that we were all spending our money on during the pandemic.”¹³⁴

¹²⁹ CX 423; CX 206-208, 175: 8-22 and 208:20 - 209:1; CX 470-471 ¶ 20.

¹³⁰ CX 471 ¶ 20.

¹³¹ CX 471 ¶ 21; Weiss Decl., Ex. 100.

¹³² CX 203.

¹³³ CX 470-471 ¶¶ 20-21.

¹³⁴ CX 406 (Q2 2022 Results – Earnings Call Transcript).

Based on the above, the demand for 4,700 containers was there, especially in an e-commerce setting.¹³⁵

LOST PROFIT DAMAGE CATEGORY #1: Loss for failure to meet minimum TEU during fiscal year 2020:

Maersk was required to provide a minimum of 200 containers and only produced 185, or a deficit of 15 containers.¹³⁶ To add insult to injury, Maersk benefited from being able to sell space that was supposed to be committed to OJC on the spot market, or to shippers willing to pay a premium, rather than honoring its commitments with OJC. Indeed, OJC knows that *because Maersk's internal emails say so*:

This customer has threatened to take legal actions against Hamburg Sud **and now because allocation was not honored, we'll need to increase their SPL¹³⁷ to compensate the units not loaded.**

...

They have pushed several times for additional space which we informed only by *premium rate* but from what I was told, this is a low paying cargo and they can't afford so they found a way to get their additional space. In my almost 5 years with this trade I've never seen such action (and we had space issues every year) but legally is their right.¹³⁸

///

I understand space is limited and **other customers are paying a *premium* for space presently but any additional profit gained from *those premiums* is going to quickly go out the window if this matter goes to trial.**¹³⁹

As can be seen from just these few emails, Maersk had the strongest motive to deny OJC space under the Contract: so that Maersk could sell that space to others for a “premium” price during

¹³⁵ *Id.*; CX 470-471 ¶¶ 20-21; Weiss Decl. Ex. 100.

¹³⁶ CX 424; CX 471 ¶ 22.

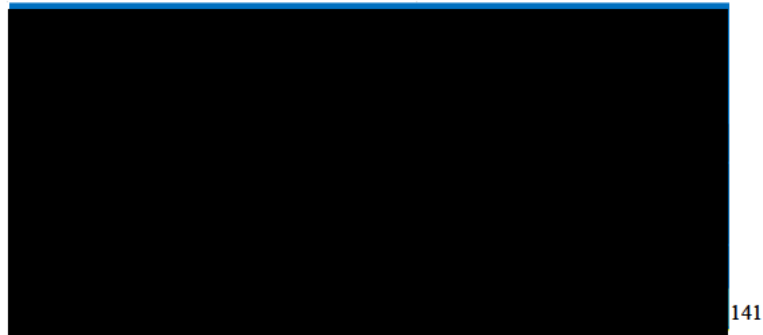
¹³⁷ “SPL” or “SP” stands for “space protection lease” and “space protection” respectively, which means that a particular customer will have space protected and prioritized for them. (CX 207-208, 114:16 - 115:18, 209:14-23.)

¹³⁸ CX 322 (Email dated October 22, 2020) (emphasis added).

¹³⁹ CX 161 (emphasis added).

high demand periods. Then, to make matters worse, Maersk's own emails explicitly admit that it retaliated against OJC by refusing to honor its shipping commitments in the Parties' Contract.¹⁴⁰

To compute the specific loss caused by that retaliation, the deficit of 15 containers would be multiplied by the anticipated average net profit per container of [REDACTED]. The result is a loss of [REDACTED] computed as follows:



LOST PROFIT DAMAGE CATEGORY #2: Loss due to failure to provide regular weekly shipments during fiscal year 2020: Maersk was also required to provide a minimum number of weekly shipments during Fiscal Year 2020.¹⁴² Respondents repeatedly missed the weekly minimum and by the end of the year the weekly shortfalls totaled 105 containers.¹⁴³ The weekly minimum is confirmed in an email between Michael Gast and Andrea Casanova (both of Respondents), with the relevant portion reproduced here:¹⁴⁴

4. Was there any formal documentation confirming our obligation to carry the additional 2 TEUs a week or does this fall under the terms of the contract which stipulate we can accept more cargo at our discretion [3.(a)(2)]. There was not a formal documentation. Customer was informed by email that SP was increased to 10 TEU per week on 08/03/2020 (Third attachment)

Again, Maersk retaliated by (1) refusing to ship the weekly MQC of 10 TEU required by the Contract, and (2) unilaterally terminating a renewal contract that would have compensated OJC

¹⁴⁰ (See CX 220-221, 227, 229.)

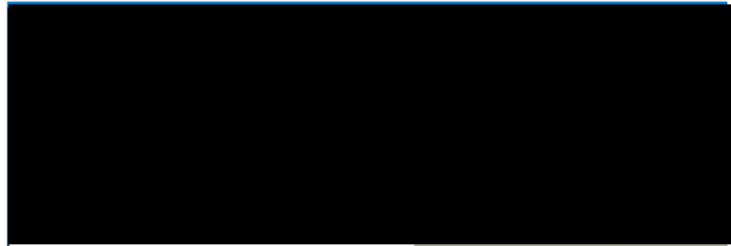
¹⁴¹ CX 424; CX 471 ¶ 22.

¹⁴² CX 424; CX 153, 148; CX 472 ¶ 23.

¹⁴³ CX 424, 439-440. (See **Exhibit A**.)

¹⁴⁴ (CX 156) "SP" stands for "space protection," which means that a particular customer will have space protected and prioritized for them. (CX 208, 114:16 - 115:18, 209:14-23.)

for these shortfalls.¹⁴⁵ To compute this specific loss, the deficit of 105 containers would be multiplied by the anticipated average net profit per container of [REDACTED]. The result is a loss of [REDACTED] computed as follows:



46

LOST PROFIT DAMAGE CATEGORY #3: Freight charges above contract rates during

Fiscal Year 2021: OJC was forced to pay spot rates for containers during Fiscal Year 2021 as Maersk retaliated against OJC and did not renew their shipping contract. During this time, OJC could only ship 143 containers because the prices greatly exceeded the contract rates. Indeed, in most cases, OJC was either unable to procure shipments, or was forced to not ship product at all because the containers would cost more than the goods in the containers.¹⁴⁷ Had Maersk not retaliated, OJC would have shipped 4200-4700 containers as projected given the enormous demand for home goods during 2021-2022. The expected contract rates used for this analysis were those contained in the Contract and the Brazil agreement addition.¹⁴⁸ The Asia to North America rates were also contained in the renewal contract proposed by Maersk – “NOAC10000728 Effective June 1, 2021, until May 31, 2022” – which contained “**the same lanes, rates, and conditions of the current contract AECC0000291.**”¹⁴⁹ ¹⁵⁰ They are listed below in this chart:

¹⁴⁵ (See CX 214, 220-221, 227-228.)

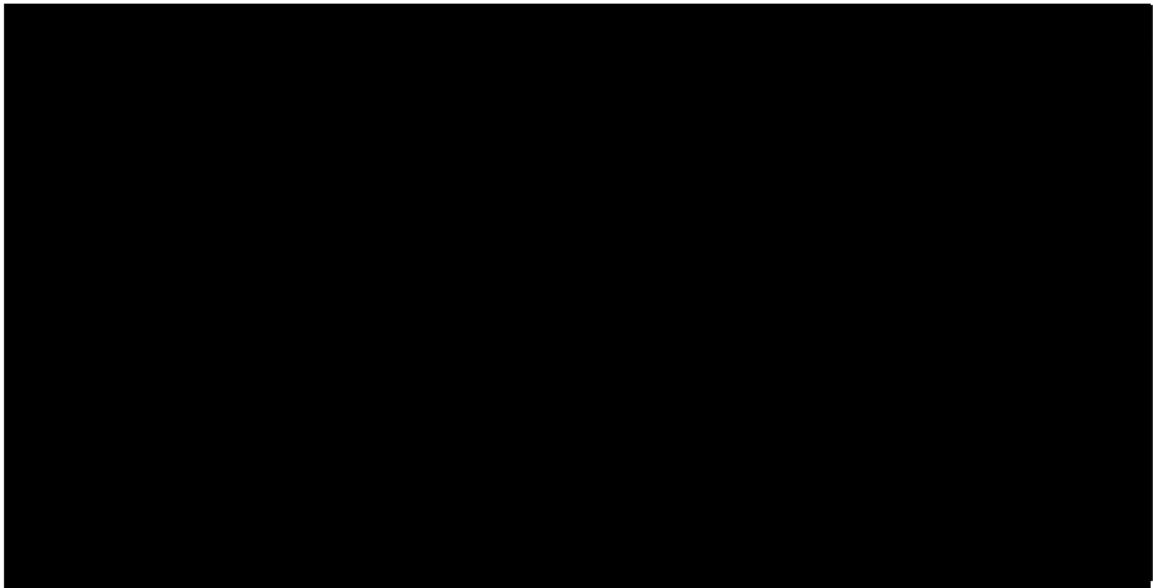
¹⁴⁶ CX 424; CX 472 ¶ 23.

¹⁴⁷ CX 472 ¶ 24.

¹⁴⁸ See CX 214, 220-221, 227-228; CX 472 ¶ 24.

¹⁴⁹ CX 214.

¹⁵⁰ CX 472 ¶ 24.



The total of excess shipping charges OJC paid for these 143 containers (actual less contract rates) was [REDACTED].¹⁵¹

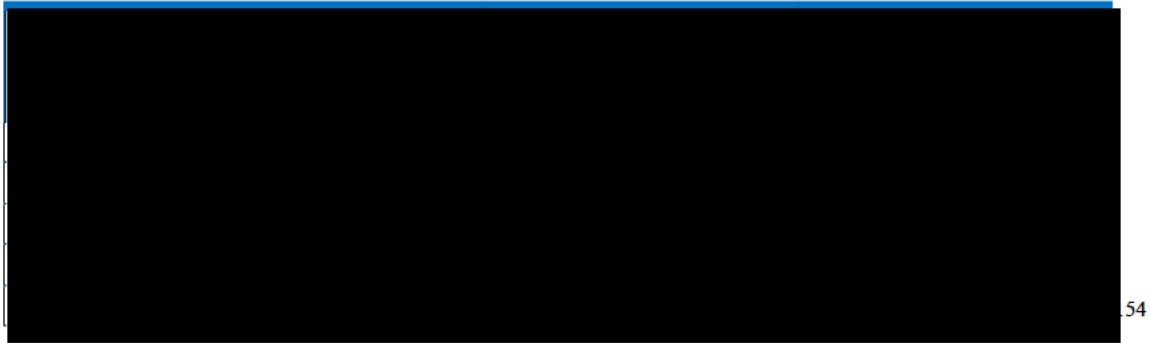
LOST PROFIT DAMAGE CATEGORY #4: Loss due to refusal to complete renewal of contract during Fiscal Year 2021: As shown above, Maersk refused to complete the written agreement to renew the shipping contract with OJC for Fiscal Year 2021 based on retaliation. The Parties agreed between 4,200 and 4,700 containers. By unlawfully retaliating against OJC and refusing to renew the contract, Maersk forced OJC into a position where it simply couldn't profitably operate its business because shipping the containers would cost more than the goods in the containers were worth.¹⁵² ¹⁵³ There's no point in mincing words, Maersk's retaliation had a massive and injurious effect on OJC's business. Maersk was raking in record-breaking multi-billion dollar profits but was doing so at the expense of OJC's business.

¹⁵¹ CX 425, 441-444 (See **Exhibit B** for a detailed calculation.); CX 472 ¶ 24.

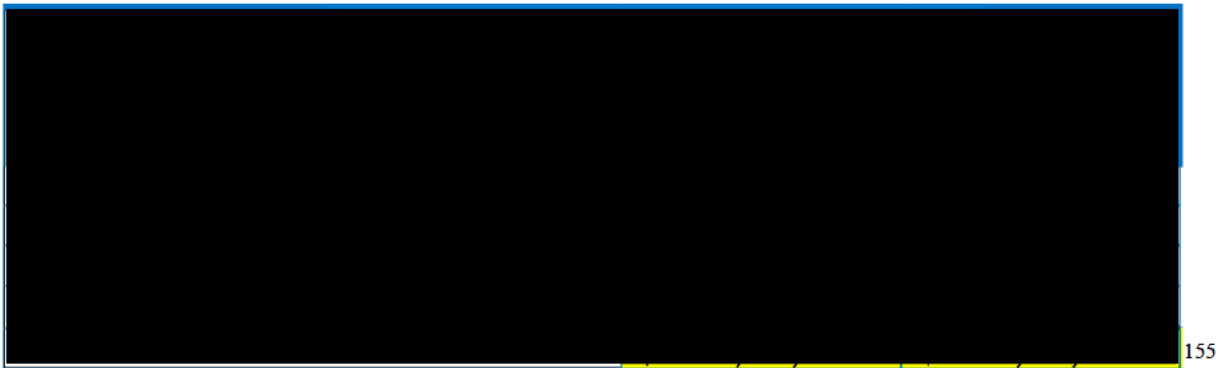
¹⁵² Because Respondents retaliated against OJC so late in the contract season, OJC could not obtain a shipping contract with any other carrier. Nonetheless, Weiss tried to do so, to no avail. CX 468-469 ¶ 14.

¹⁵³ CX 472 ¶¶ 24, 25; and CX 425.

OJC's damages are tremendous, but calculating these damages only requires simple arithmetic. The damages for this category are measured by multiplying the shortfall of containers by the profit margin per container. These calculations are done using either the 4,200 or 4,700 total containers expected for Fiscal Year 2021, minus the 143 containers actually shipped, respectively as follows:



To summarize the four categories of lost profits discussed above, OJC's **total lost profits** are calculated as:



2. OJC's Damages related to Shipping Rates Differences.

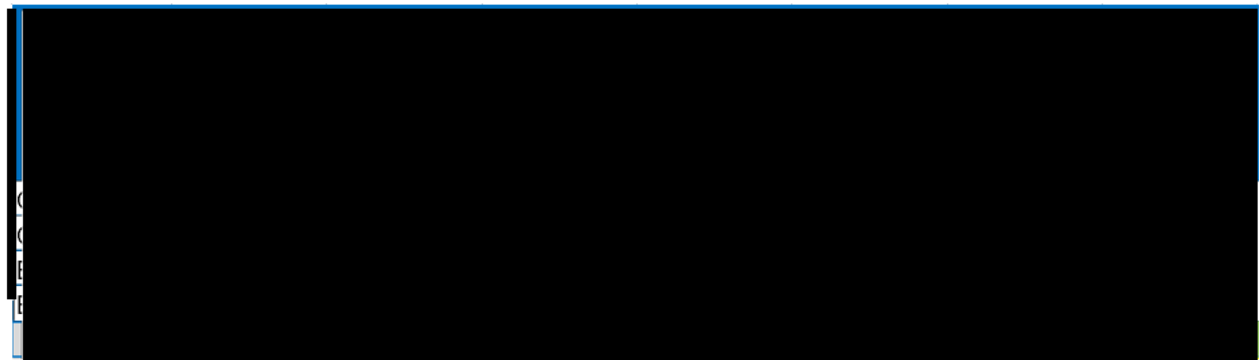
As another method of calculating its damages, OJC computed the difference between the contract cost – that OJC would have had but for Maersk's retaliation – to ship either 4,200 or 4,700 containers and the spot market cost to ship the same containers is the measure of OJC's actual

¹⁵⁴ CX 426; CX 473 ¶ 26.

¹⁵⁵ CX 426; CX 473 ¶ 28(1).

injury.¹⁵⁶

In order to calculate the shipping rate difference damages, OJC projected how many containers it would have shipped on each route, such as, how many containers shipped from China, Brazil, and how many containers delivered to California and Kentucky.¹⁵⁷ Next, OJC looked at the contract rates¹⁵⁸ for each of those routes, and multiplied those rates by the number of containers projected to be shipped in each of those routes. The result is as follows:



The next step is to do the same exercise using spot prices rather than contract prices. To determine the spot prices, OJC used the following sources or made the following assumptions absent Maersk's actual data that the Court ordered produced but Maersk refused to provide:

- OJC used spot rates from Xenta and Drewry for the China to California routes. (CX 427)
- For the China to Kentucky routes, neither Xenta or Drewry had sufficient data points that allowed them to confidently publish rates. Rather, OJC used a multiplier of China to California, at the same ratio as the contract rates. (CX 427)
- For the Brazil to California and Brazil to Kentucky routes, the spot rates were not available. OJC therefore used [REDACTED] for all periods as this amount approximates what OJC actually paid during this time frame. (CX 427, 462)
- As Respondents still have not released their spot shipping prices including all surcharges, OJC added an estimate to include the surcharges. OJC determined that surcharges during

¹⁵⁶ CX 426; CX 473 ¶ 27

¹⁵⁷ CX 473-474 ¶ 27; Weiss Decl., Ex. 100.

¹⁵⁸ The contract between OJC and Respondent included also drayage fees, however, the spot rates does not include drayage. Therefore, in order to compare apples to apples, OJC has removed drayage from this computation. CX 473-474 ¶ 27.

¹⁵⁹ CX 473-474 ¶ 27.

the relevant timeframe ranged from [REDACTED] to as much as [REDACTED]. The [REDACTED] (low end of the range) of surcharges has been added per container.¹⁶⁰

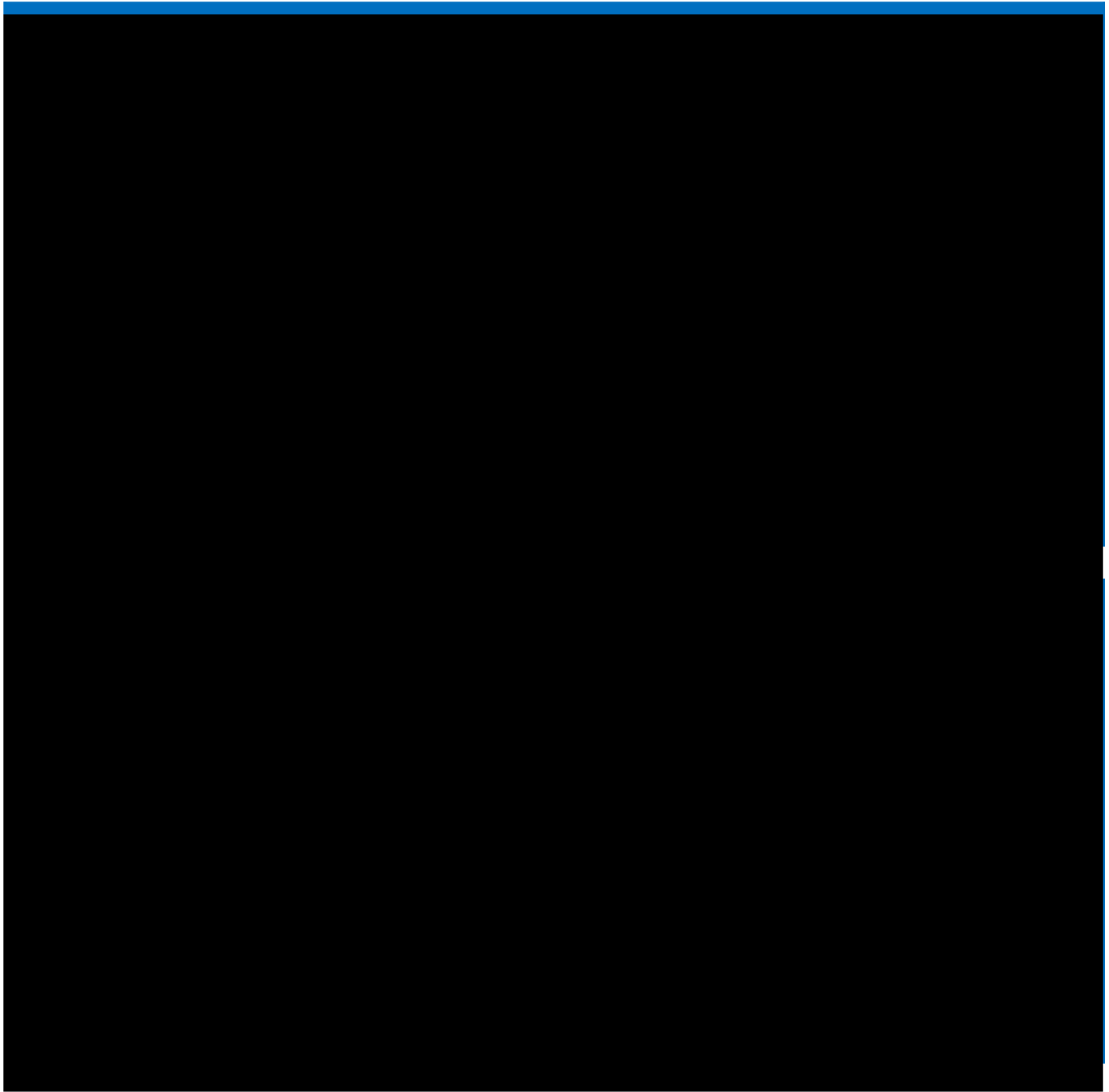
OJC then computed the average of the monthly rates for each of the sources to be:

[illegible]

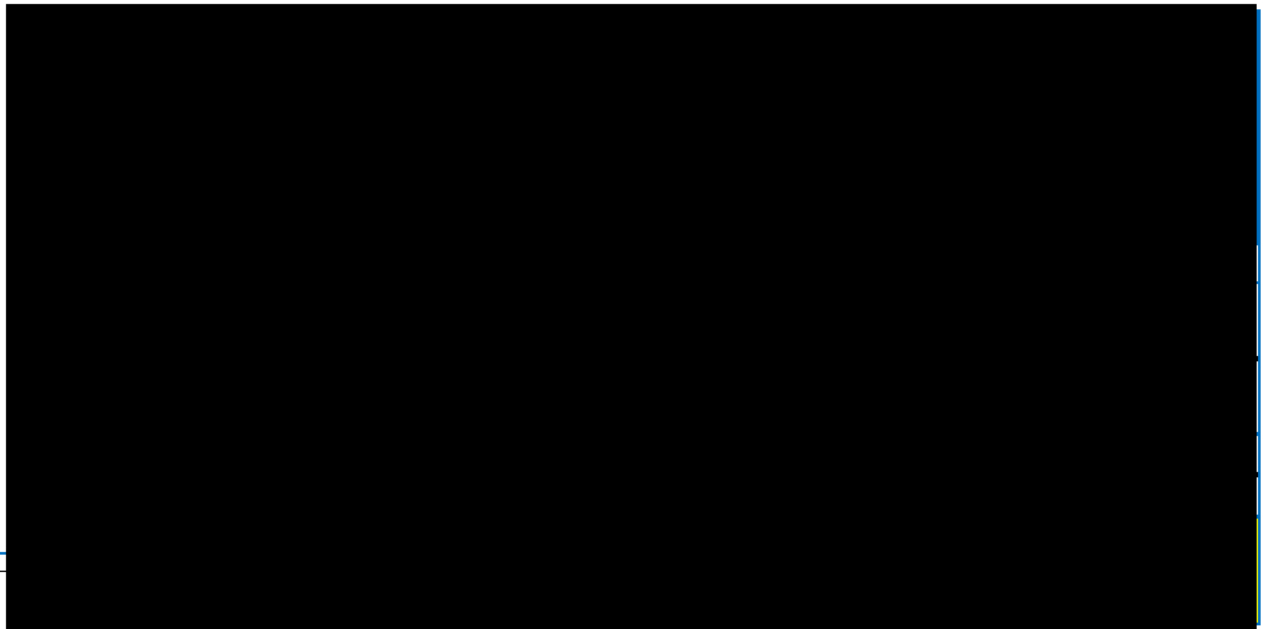
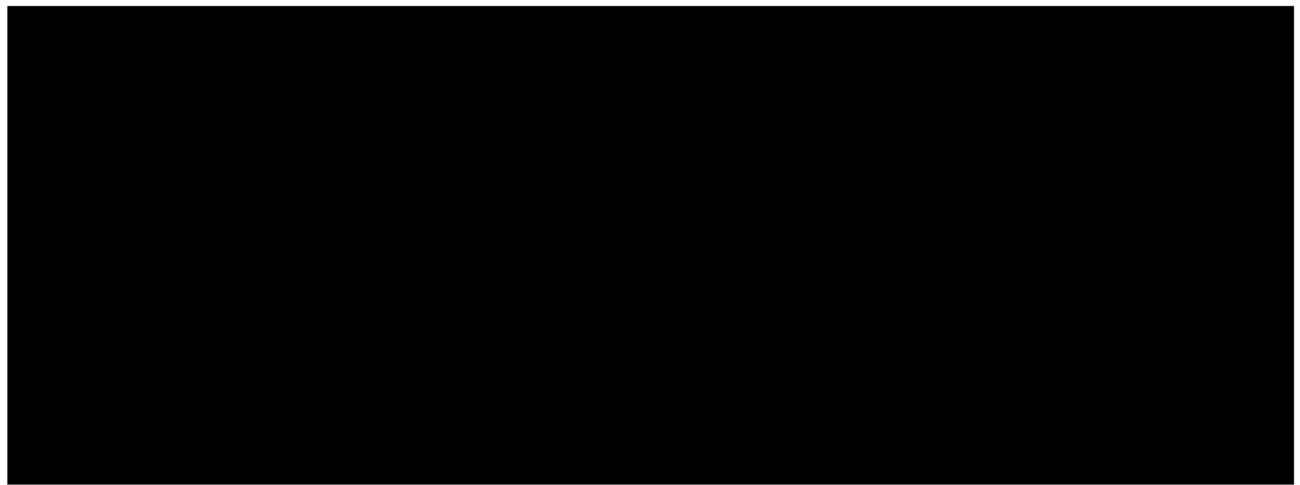
¹⁶⁰ CX 462; CX 474 ¶ 28(2). Spot rates calculations without the surcharges are available at CX 427-429.

¹⁶¹ CX 427-428; CX 474 ¶ 29.

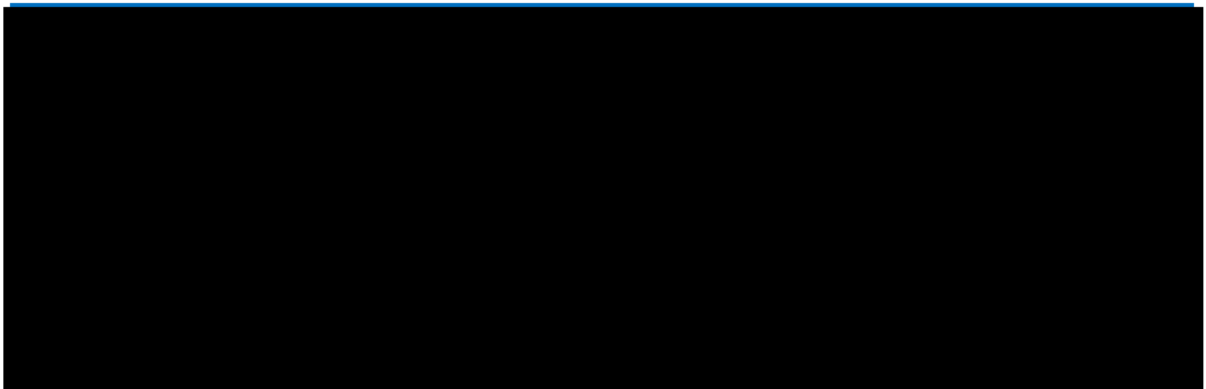
OJC then computed the total spot shipping costs for both sources (Xenta and Drewry) and both volumes of containers (4,200 and 4,700) as follows:¹⁶²



¹⁶² CX 463-464; CX 474 ¶ 30.



Finally, the difference between the contract cost and the spot market cost is computed for damages:¹⁶³

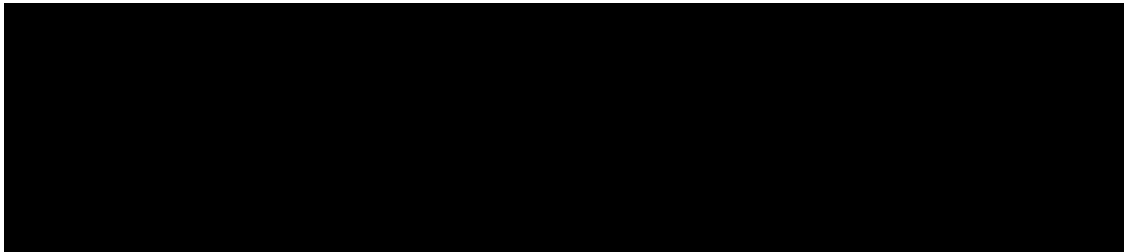


¹⁶³ CX 464; CX 474 ¶ 30.

Had Maersk not retaliated and had it renewed its contract with OJC as promised, OJC would not have incurred these losses.¹⁶⁴

SUMMARY OF OJC’S DAMAGES

OJC provided two alternative methods to compute its damages, with the totals for each summarized below:¹⁶⁵



As the Court can see from the vast difference between the contract rates and spot rates during the relevant time, Maersk greatly benefitted from retaliating and unreasonably refusing to deal or negotiate with OJC. Indeed, Maersk profited to a much greater degree by selling their freed-up space to other companies on the spot market, rather than contract with OJC at far lower rates. OJC, on the other hand, was massively damaged because it could barely afford to ship any containers at all after Maersk retaliated.

Maersk robbed OJC of its only affordable way of shipping its products. OJC’s damages should be awarded that truly compensate OJC for Maersk’s violations and make such malicious behavior unprofitable. If that is not done, Maersk – and undoubtedly other carriers – will continue to willfully violate the Shipping Act because it is more profitable to do so than comply with the law.

¹⁶⁴ CX 475 ¶ 32.

¹⁶⁵ CX 464; CX 475 ¶ 33. For a summary of OJC’s damages that includes the spot rates calculations without the surcharges, *see* CX 436.

B. Maersk’s criticisms of OJC’s damages are just as baseless as its liability pretexts.

During discovery, Maersk made two criticisms of OJC’s damages: (1) Maersk could not have accommodated OJC’s 4200-4700 containers; and (2) OJC was incapable of shipping 4200-4700 containers, especially since Maersk allegedly would not handle 70% of them because Maersk would not want to ship to Kentucky. Both of these arguments are again belied by Maersk’s own statements.

Maersk was perfectly capable of shipping OJC’s 4200-4700 containers, and Maersk knew it. As noted above, Maersk had entered into service contracts for at least [REDACTED] TEUs after Maersk made the “executive decision” to retaliate against OJC.¹⁶⁶ That’s not including the space that Maersk sold on the spot market. Based on this fact alone, Maersk’s argument that it could not accommodate 4200-4700 containers is completely debunked.

Maersk’s argument that OJC was not capable of shipping 4200-4700 containers, with Maersk supposedly not wanting to ship to Kentucky, is equally meritless. Indeed, during the negotiations for the 2020-2021 Contract, OJC originally proposed a minimum volume of “1266x40hc per year” (approximately 2500TEU) that included a Kentucky line.¹⁶⁷ According to Maersk, however, OJC had to sign a contract with a different carrier because Maersk “rejected it initially.”¹⁶⁸ At that time, Maersk admittedly regretted its decision to reject OJC’s 2020-2021 volume based on the Kentucky issue, formulated possible solutions, and bemoaned that “[e]specially for this kind of volume, I would have love[d] to take a look [at solutions] before we declined 2500TEU.”¹⁶⁹ Casanova had communicated to Weiss that Maersk wanted to ship to

¹⁶⁶ CX 469 ¶ 16.; CX 283-284; *see also* CX 285-286, HSDG’s Resp. to OJC RFA 1-4 (Respondents admitting that they entered into service contracts after they retaliated against OJC).

¹⁶⁷ CX 242-243.

¹⁶⁸ *Id.*

¹⁶⁹ CX 242.

Kentucky in 2021-2022 to make up for its failure to previously secure OJC's Kentucky business for the year prior.¹⁷⁰

Furthermore, Maersk confirmed that shipments from Asia to Charleston, SC or Savannah, GA (which connect to Kentucky) would make OJC "more attractive" than if it only imported to California.¹⁷¹ Maersk also confirmed internally that OJC's warehouse was very close to the railyards needed for the movement of containers, so Maersk could handle that lane.¹⁷²

OJC's plan to "move between 4200 to 4700 FFE" was based on projections that OJC had put together during 2020-early 2021 by analyzing product sales, quantities of product in stock, consumer demand, clicks and queries about products in and out of stock, and calls into the company about products, with the analysis indicating that 4,598 containers would be needed for fiscal 2021. Maersk was told of these projections months before the expiration of the 2020-2021, and it led to Maersk enticing OJC to consolidate all its shipping needs with Maersk. As a result of Maersk's promises, the Parties agreed to ship 4200-4700 FFE in 2021-2022.¹⁷³

Nonetheless, Maersk has argued that OJC could make that increase due to its past shipment history. But as this Court noted that "given changing market conditions, it is not clear that past performance would be relevant to the timeframe at issue."¹⁷⁴ Indeed, OJC's increase from around 2500 TEU – which OJC offered to Maersk for 2020-2021 – to at least 4200 FFE was consistent with the marketwide, historically-high spike in demand for household goods that came from so many sheltering at home during the pandemic.¹⁷⁵

¹⁷⁰ CX 468 ¶ 13; *see also* CX 203, 214-215.

¹⁷¹ CX 92-93, 137:13 - 139:20, 142:3-21.

¹⁷² CX 203; CX 410, 125:25 - 127:25.

¹⁷³ CX 468, 475 ¶¶ 11, 34; Weiss Decl, Ex. 100.

¹⁷⁴ CX 315.

¹⁷⁵ CX 406.

It was OJC's ideal breakdown to ship around 70% of its 4200-4700 FFE volume from Asia to Kentucky, and the remainder to California.¹⁷⁶ That said, OJC informed Casanova that if Kentucky was again an issue, OJC could ship all the 4200-4700 FFE through California, as OJC's California had warehouses that could accommodate all the additional space.¹⁷⁷ Maersk knew that OJC could be flexible with where its shipments were sent because 100% of its containers were sent to California during the first Contract.¹⁷⁸ At bottom, Maersk is just throwing excuses at the wall to see what sticks, and this one is just as groundless as Maersk's after-the-fact pretexts for its refusal to deal.

C. OJC's damages should be doubled due to Maersk's willful violation of Sections 41104(a)(3).

OJC has shown that its injuries were caused by Maersk's violation of 46 U.S.C. § 41104(a)(3) (retaliation). Based on the language of 46 U.S.C. § 41305(c), that fact alone warrants the payment of additional damage amounts to OJC up to "twice the amount of the actual injury." Here, not only has Maersk violated the section against retaliation, but it has also knowingly and willfully done so. Indeed, Maersk knew that retaliation was prohibited under the Shipping Act but did so against OJC anyway, literally within hours after OJC threatened to complain to the FMC about Maersk's Shipping Act violations.¹⁷⁹ This and Maersk's continued pressing of frivolous defenses support a doubling of OJC's damages.

III. ATTORNEYS' FEES AND COSTS

Upon prevailing against Maersk on its claims, OJC will submit a petition, pursuant to 46 U.S.C. § 41305(e) and 46 C.F.R. § 502.254, for the award of its attorneys' fees and costs against

¹⁷⁶ CX 475 ¶ 35; CX 203.

¹⁷⁷ CX 475 ¶ 35.

¹⁷⁸ CX 119-135; CX 475 ¶ 35.

¹⁷⁹ Compare CX 209-211 with CX 220 (Email dated April 29, 2021 1:13 PM).

Maersk based on (i) the objective unreasonableness and frivolousness nature of Maersk's defenses, (ii) Maersk's improper motivation in litigating this case, (iii) Maersk's litigation misconduct, in part which is outlined in this Brief, (iv) the necessity to deter Maersk and other carriers from willfully engaging in acts prohibited by the Shipping Act, and (v) the need to fully compensate OJC for having to litigate Maersk's intentional violations of the Shipping Act.

CONCLUSION

This case is not complicated. Indeed, Maersk's own documents and words make it clear that its violations of the Shipping Act were knowing and intentional, and the damage that they caused to OJC was massive. If OJC is not fully compensated for the damages inflicted on its business, Maersk will only be further emboldened – even encouraged – to retaliate against shippers, which the FMC has publicly stated it will not tolerate. This is the case to prove that commitment. OJC therefore respectfully requests that the FMC:

- (i) find in favor of OJC on its claims under in 46 U.S.C. §§ 41104(a)(3) and 41104(a)(10);
- (ii) award OJC in reparations after doubling them under 46 U.S.C. § 41305(c), not including the loss of interest at commercial rates compounded from the date of injury that would need to be added pursuant to 46 U.S.C. § 41305(a); and
- (iii) grant OJC such further relief that the Commission deems just and proper.

Dated: November 9, 2022

Respectfully Submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served Complainant's Brief, Findings of Fact, and Appendix upon all of Respondents' counsel of record by emailing a copy/download link to each such person.

Dated: November 9, 2022

By: /s/ Shlomo Y. Hecht
Shlomo Y. Hecht